ELECTRA MULTIFAMILY INVESTMENTS FUND II, L.P.

INTERIM CONSOLIDATED FINANCIAL STATEMENTS

AS OF MARCH 31, 2026

UNAUDITED

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Shape the future with confidence

Kost Forer Gabbay & Kasierer
144 Menachem Begin Road, Building A,
Tel-Aviv 6492102, Israel

Tel: +972-3-6232525
Fax: +972-3-5622555
ey.com

Auditors' review report to the members of

ELECTRA MULTIFAMILY INVESTMENTS FUND II, L.P.

Introduction

We have reviewed the accompanying financial information of Electra Multifamily Investments Fund II, L.P. ("the Partnership"), which comprises the condensed consolidated financial position as of March 31, 2026 and the related condensed consolidated statements of comprehensive income, changes in members' capital and cash flows for the three months period then ended. The Partnerships' management is responsible for the preparation and presentation of interim financial information for these periods in conformity with U.S. generally accepted accounting principles. Our responsibility is to express a conclusion on this interim financial information based on our review.

Scope of review

We conducted our review in accordance with Review Standard 2401 of the Institute of Certified Public Accountants in Israel, "Review of interim Financial Information Performed by the independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with generally accepted auditing standards in Israel and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review nothing has come to our attention that causes us to believe that the accompanying interim financial information is not prepared, in all material respects, in conformity with U.S. generally accepted accounting principles, which differ in certain respects from the IFRS, as describe in Note 10, to the consolidated financial statements.

Tel-Aviv, Israel
May 27 , 2026

KOST FORER GABBAY & KASIERER
A Member of Ernst & Young Global

INTERIM CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Note	March 31, 2026 Unaudited	December 31, 2025 Audited
		U.S. dollars in thousands	
ASSETS			
Real estate, net	4	189,416	190,927
Investments in investee entities	5	26,357	29,086
Cash		74,468	57,665
Restricted cash		1,956	6,783
Accounts receivable		3,742	3,403
Receivables due from related parties		2,556	2,511
Prepaid expenses		1,113	427
Deposits		37	37
Assets held for sale	8	-	53,616
Total assets		299,645	344,455
LIABILITIES AND MEMBERS' CAPITAL			
Real estate mortgages, net	7	148,913	149,367
Accounts payable		138	1,291
Accrued expenses		4,544	8,148
Security deposits payable		57	60
Other liabilities (including payables due to related parties)	6	68,563	36,642
Liabilities attributed to assets held for sale	8	-	41,037
Total liabilities		222,215	236,545
MEMBERS' CAPITAL:			
Members' capital		77,430	107,910
Total liabilities and member's capital		299,645	344,455

The accompanying notes are an integral part of the interim consolidated financial statements.

May 27, 2026		
Date of approval of the financial statements	Joseph G. Lubeck Managing Member	James G. Miller Member

INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Note	Three months ended	
		March 31, 2026	March 31, 2025
		Unaudited	
		U.S. dollars in thousands	
Revenues:			
Rental income		8,099	16,999
Other income		15	-
Total revenues		8,114	16,999
Expenses:			
Rental expenses		4,281	8,293
General and administrative expenses		791	1,157
Depreciation		1,970	3,868
Total expenses		7,042	13,318
Partnership's share of profit (loss) of entities accounted for at equity		(2,247)	3,156
Gain from sale of asset	4.c	22,643	361
Income before interest expense - mortgage loans		21,468	7,198
Interest expense - mortgage loans		2,464	3,639
Income before interest to related parties		19,004	3,559
Interest expense to related parties - members' loans and related parties' loans		251	638
Interest income		-	(345)
Income		18,753	3,266
Attributable to:			
Equity holders of the Company		14,859	2,965
Non-controlling interests		3,894	301
Comprehensive income		18,753	3,266

The accompanying notes are an integral part of the interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN MEMBERS' CAPITAL

	Members' Capital	Non-controlling interest	Total Capital
	U.S. dollars in thousands		
Balance as of January 1, 2026 (Audited)	91,517	16,393	107,910
Members' distributions	(44,000)	(5,233)	(49,233)
Comprehensive Income	14,859	3,894	18,753
Balance as of March 31, 2026 (Unaudited)	62,376	15,054	77,430

	Members' Capital	Non-controlling interest	Total Capital
	U.S. dollars in thousands		
Balance as of January 1, 2025 (Audited)	149,048	24,594	173,642
Members' distributions	(46,590)	(441)	(47,031)
Comprehensive Income	2,965	301	3,266
Balance as of March 31, 2025 (Unaudited)	105,423	24,454	129,877

The accompanying notes are an integral part of the interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS

	Three months ended March 31,	
	2026	2025
	Unaudited	
	U.S. dollars in thousands	
Cash flows from operating activities:		
Income	18,753	3,266
Adjustments to reconcile to net cash provided by operating activities:		
Depreciation	1,970	3,868
Amortization of deferred financing costs, real estate mortgage loans	211	135
Group's share of earnings of companies accounted for at equity, net	2,729	(1,903)
Loss from sale of investment in investee entities	-	45
Gain from sale of real estate properties	(22,643)	(361)
Increase in accounts receivable	(259)	(51)
Decrease in accounts payable	(1,151)	(393)
Decrease in accrued expenses	(5,068)	(6,390)
Decrease in security deposits payable	(18)	(18)
Increase in other liabilities	1,338	8,626
Increase in receivables due from related parties	(45)	-
Increase in payables due to related parties	30,531	-
Increase in prepaid expenses	(629)	(1,244)
Net cash provided by operating activities	25,719	5,580
Cash flows from investing activities:		
Proceed from sale of real estate proprieties	73,445	(137)
Proceeds from sale of investments in unconsolidated entities	-	6,806
Net cash provided by investing activities	73,445	6,669
Cash flows from financing activities:		
Distribution to the Partnership's members	(44,000)	(46,590)
Repayment of real estate mortgages, net	(40,026)	(982)
Distribution attributable to non-controlling interests	(5,233)	(441)
Net cash used in financing activities	(89,259)	(48,013)
Net increase (decrease) in cash and restricted cash	9,905	(35,764)
Cash and restricted cash at the beginning of the year	66,519	68,241
Cash and restricted cash at the end of the period	76,424	32,477
Interest paid	2,252	3,503

The accompanying notes are an integral part of the interim consolidated financial statements.

NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1:- GENERAL

Electra Multifamily Investments Fund II, L.P., a Delaware limited partnership, was incorporated on April 3, 2018 ("the Fund"). The Fund conducts all of its operations through consolidated and investees entities. The Fund is in the business of acquiring and owning a portfolio of quality and growth potential properties in the southeast of the United States. The Fund's properties are managed by American Landmark Management ("the Management Company"), a related party of the Fund.

These financial statements have been prepared in a condensed format as of March 31, 2025, and for the three-months periods then ended ("interim consolidated financial statements"). These financial statements should be read in conjunction with the Company's annual financial statements as of December 31, 2025, and for the period then ended and the accompanying notes ("annual consolidated financial statements").

The Fund was formed by the EMIF II Management LLC GP ("the General Partner"), a related party of the Fund. The ownership rights in the Fund are held by EMIF II- Feeder I, L.P., EMIF II- Feeder II, L.P., EMIF II- Feeder IIA, L.P., EMIF II- Feeder III, L.P., EMIF II- Feeder IIIA, L.P., EMIF II- Feeder IV, L.P., and EMIF II- Feeder V, L.P.

In July 2019, the Fund announced on final closing and raise of a total amount of US$ 462 million. The General Partner (along with its related parties) invest a minimum of $30 million or 10% of the entire investment commitments in the Fund. Moreover, the Fund's agreements determine the investment policy and the entitlement to promote payments to the General Partner, and related parties.

As of March 31, 2026, the Fund owns 10 properties – 5 properties held through subsidiaries with an aggregate of 1,484 apartment units, , and 5 properties, with an aggregate of 2,442 apartment units, are held through equity method investees.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES

Basis of preparation of the financial statements

The summary of significant accounting policies presented below is designed to assist in understanding the Fund's financial statements. These financial statements have been prepared in accordance with accounting principles generally accepted in the U.S. ("U.S. GAAP"), in all material respects.

Principles of consolidation:
The consolidated financial statements incorporate the financial statements of the Fund and all of its subsidiaries. Intercompany transactions and balances have been eliminated upon consolidation.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

a. Use of estimates:

The preparation of the consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

The most significant estimates relate to the impairment and depreciable lives of long-lived assets and measured transactions with related parties according to fair value.

b. Functional currency and presentation currency:

The functional currency of the Fund and its investees is the U.S. dollar as it is the currency of the primary economic environment in which the Fund is operating.
The Fund has elected to use the U.S. dollar as its reporting currency for all periods presented.

c. Real estate:

Real estate is stated at historical cost less accumulated depreciation and impairments. Expenditures that significantly improve or extend the life of an asset are capitalized. Maintenance and repairs that do not improve or extend the life of an asset are charged to expense when incurred. When real estate assets are sold or retired, their cost and related accumulated depreciation are removed from the Fund's records, and any gain or loss is reported in the statement of operations.
Depreciation is recorded using the straight-line method over the estimated lives of the related assets as follows:

	Years
Building and building improvements	40
Site improvements	15
Furniture and fixtures	7

d. Impairment of long-lived assets:

The long-lived assets of the Fund and its subsidiaries are reviewed for impairment in accordance with ASC 360, "Property, Plant and Equipment", whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets held and used is measured by a comparison of the carrying amount of an asset to the future undiscounted cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment recognized is measured by the carrying amount of the assets exceeding the fair value of the assets. As of March 31, 2026 and March 31, 2025 no impairment losses have been identified.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

e. Restricted cash:

The Fund classifies all cash that is not available for general use by the Fund, due to restrictions in specific agreements, as restricted cash. Restricted cash consists of funds restricted for tenant deposits and funds held in escrow for future rehab, property tax and insurance payments.
Cash, cash equivalents and restricted cash are included the following:

	March 31, 2026	December 31, 2025
	Unaudited	Audited
	U.S. dollars in thousands	
Cash and cash equivalents as reported on the balance sheet	74,468	57,665
Restricted cash as reported on the balance sheet	1,956	6,783
Cash and restricted cash - held for sale	-	2,071
	76,424	66,519

f. Debt issuance costs:

Debt issuance costs related to term loans presented as a direct deduction from the carrying amount of the associated debt liability. The debt issuance costs are still amortized on a straight-line basis, which approximates the effective interest method, over the term of the loan. As of March 31, 2026 and March 31, 2025 the total amortization expenses were approximately US$ 211 thousand and US$ 135 thousand, respectively

g. Revenue recognition:

Rental income

The Fund generates revenues from fixed income real-estate according to ASC 842 which derived from its multifamily apartments' units to residential tenants under leases up to 13 months. Rental income includes minimum rents which are recognized on an accrual basis over the terms of the related leases on a straight-line basis. Lease revenue recognition commences when lessee is given possession of the leased space and there are no contingencies offsetting the lessee's obligation to pay rent.

h. Accounts receivable:

Accounts receivable consists of unpaid charges for base rent, services, and other charges to tenants. Accounts receivable are carried at the original invoice amount less any provisions for uncollectable accounts. Provisions for uncollectable accounts are made when there is a risk for non-payments, taking into account aging, previous experience with the tenant, financial condition of the tenant, and other relevant factors. When accounts receivable are determined to be uncollectible, they are written off, firstly against any provision available and then to the statement of operations. As of March 31, 2026 and March 31, 2025 the Fund had no provisions for uncollectible accounts.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

i. Income taxes:

As a limited liability company, the Fund is treated as a partnership for federal and state income tax purposes and, accordingly, is not subject to company-level tax. Taxable income or losses are allocated to the members in accordance with the Operating Agreement.

Therefore, no provision or liability for income taxes has been included in the accompanying financial statements. The Fund is subject to U.S. federal and state examinations by taxing authorities.

j. Risk and uncertainties:

Real estate companies are subject to various risks and uncertainties that could cause actual results to differ from the estimates made in the Fund's financial statements. The following factor could negatively affect the Fund's accounting estimates as well as the Fund's future operating results, liquidity, and financial condition: inability to access capital, including an inability to obtain financing or refinance maturing loans.

k. Investments in equity method investees:

Unconsolidated entities are companies in which the Fund has significant influence over the financial and operating policies without having control. The investment in those investees is accounted for using the equity method. Under the equity method, the investment in unconsolidated entities is accounted for in the financial statements at cost plus changes in the Group's share of net assets, including other comprehensive income (loss) of the investee.

NOTE 3:- DISCLOSURE OF NEW STANDARDS IN THE PERIOD PRIOR TO THEIR ADOPTION

a. In July 2025, the FASB issued ASU 2025-05, Financial Instruments - Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets. This amendment introduces a practical expedient for the application of the current expected credit loss (“CECL”) model to current accounts receivable and contract assets. ASU 2025-05 is effective for fiscal years beginning after December 15, 2025, and interim reporting periods within those annual reporting periods. Early adoption is permitted. The Company is currently evaluating the impact of adopting ASU 2025-05.

b. In December 2025, the FASB issued ASU 2025-11, Interim Reporting (Topic 270): Narrow-Scope Improvements, which clarifies the guidance in Topic 270 to improve the consistency of interim financial reporting. The ASU provides a comprehensive list of required interim disclosures and introduces a disclosure principle requiring entities to disclose events since the end of the last annual reporting period that have a material impact on the entity. ASU 2025-11 is effective for fiscal years beginning after December 15, 2028, including interim periods within those fiscal years, with early

NOTE 4:- REAL ESTATE, NET

adoption permitted. The Company is currently evaluating the impact of adopting ASU 2025-11.

a. Real estate, net consisted of the following:

	March 31, 2026	December 31, 2025
	Unaudited	Audited
	U.S. dollars in thousands	
Land	20,807	20,807
Building, improvements, and equipment (1)	213,152	212,825
Accumulated depreciation	(44,543)	(42,705)
Real estate, net	189,416	190,927

(1) Building, improvements, and equipment costs include soft costs in the amount of US$ 0.5 million (2025- US$ 0.6 million), and hard costs in the amount of US$ 12.6 million (2025- US$ 13.9 million). Soft costs consist of fees incurred to a related party. Depreciation expense years ended March 31, 2026, are US$ 1.97 million (2025- US$ 13.4 million).

b. The following are consolidated investments:

Name of property	Location	Units	% EMIF II
Evolv	Texas	334	62%
The View at Lakeside	Texas	360	83%
Alon at Castle Hills	Texas	306	100%
The JaXon	Texas	250	100%
Lakefront Villas	Texas	234	100%

c. During February 2026, the Fund sold the property - Elite 99 West located in Katy, TX. That was treated as held for sale as of December 31, 2025. The Fund capital gain from the sale is US$ 22.6 million. The initial capital contribution invested by the Fund in the property was US$ 20.2 million

NOTE 5:- INVESTMENTS IN INVESTEE ENTITIES

a. The following are investments accounted for using the equity method:

Name of property	Location	Units	% EMIF
Beck at Wells Branch	Texas	576	50%
Hayden at Enclave	Texas	476	60%
The Logan	Texas	490	48%
Laurel Heights at City view	Texas	440	48%
The Regent	Texas	460	48%

NOTE 6:- ACCOUNTS AND OTHER PAYABLES TO RELATED PARTIES

Other payables due to related parties on the consolidated statements of financial position represent cash held and owed to Fund's Blocker entities from declared distributions. As of March 31, 2026 the balance is $66.7 million. The cash is held in an interest-bearing account on behalf of the Fund's Blocker entities.

a. Related parties' balances consist of the following:

	March 31, 2026	December 31, 2025
	Unaudited	Audited
	U.S. dollars in thousands	
Assets:		
Receivables due from related parties	2,556	2,511
Liabilities:		
Payables due to related parties	66,742	36,211
Accrued management fees	70	187
	66,812	36,398

b. Transactions with related parties during the period consist of the following:

	March 31, 2026	March 31, 2025
	Unaudited	Unaudited
	U.S. dollars in thousands	
Management fees (1)	775	1,440

(1) See c(1) and c(2).

c. Main agreements with related parties:

1. General partner management agreements:

The agreement determined that the General Partner is vested with the full, exclusive and complete right, power and discretion to operate, manage and control the affairs of the Partnership and to make all decisions affecting the Partnership's affairs, as deemed proper, convenient or advisable by the General Partner in pursuit of the business of the Partnership. The agreement includes details of decisions that are at the sole discretion of the General Partner and those requiring the consent of the limited partners. In return for the services provided by the General Partner, the General Partner will be entitled to various payments, including a monthly payment for management fees, reimbursement of expenses etc. as stipulated in the agreement.

NOTE 6:- ACCOUNTS AND OTHER PAYABLES TO RELATED PARTIES (Cont.)

2. Property management agreements:

In connection with the acquisition of the different properties, each of the property owners entered into a property management agreement with American Landmark Management LLC ("ALM"). ALM shall be responsible for the daily management of the property. ALM shall be responsible for the maintenance, repair and operation of the property, including the performance of all duties and responsibilities placed upon the property owner by any lease agreement or other contracts. Pursuant to the property management agreement, ALM is entitled to receive 2.5%-3% of the gross receipts for each of the properties ("the management fees").

Moreover, ALM shall be reimbursed by the property owner for specific expenses detailed in the agreements. The property management agreement shall remain in full force and effect for a period of two years from the commencement date, and thereafter for yearly periods from time to time unless written notice is given.

3. Construction management agreements:

In connection with the acquisition of the different properties, each of the property owners entered into a property management agreement with ALM. ALM shall be responsible for the supervision and management of the construction and rehabilitation of the property in accordance with the scope and budget for construction and rehabilitation. Pursuant to the construction management agreement, ALM is entitled to receive a fee equal to 4.0% of the hard costs of the construction ("the construction fees").

NOTE 7:- REAL ESTATE MORTGAGES, NET

The following is a summary of the Fund's recourse and non-recourse loans as of March 31, 2026:

Property	Loan principal amount in U.S. dollars	Maturity date	Interest rate	Non - recourse/ recourse	Reference
Evolv	31,407,237	July 2028	Fixed 10 UST+136	Non-recourse	(1)
The View at Lakeside	42,700,000	January 2029	Fixed 10 UST+149	Non-recourse	(2)
Alon at Castle Hills	27,550,388	February 2027	4.50%	Non-recourse	(3)
The JaXon	22,830,321	October 2026	Libor +2.20%	Non-recourse	(4)
Lakefront Villas	24,667,243	October 2026	Libor +2.20%	Non-recourse	(5)

(1) For the benefit of acquiring the Evolv property, a mortgage was obtained from a financial institution for a period of 10 years. According to the loan terms, the loan bears a rate of UST+136 basis points, repayable in monthly installments of interest for the first five years. Principal payments are due in monthly installments for the remaining period of five years.

(2) For the benefit of acquiring the View at Lakeside property, a mortgage was obtained from a financial institution for a period of 10 years. According to the loan terms, the loan bears a rate of UST+149 basis points, repayable in monthly installments of

NOTE 7:- REAL ESTATE MORTGAGES, NET (Cont.)

interest for the first eight years. Principal payments are due in monthly installments for the remaining period of two years.

(3) For the benefit of acquiring the Alon at Castle Hills property, a mortgage was obtained from a financial institution for a period of 10 years. According to the loan terms, the loan bears annual interest at a rate of 4.50%, repayable in monthly installments of interest for the first three years. Principal payments are due in monthly installments for the remaining period of seven years.

(4) For the benefit of acquiring The JaXon property, a mortgage was obtained from a financial institution for a period of 7 years. According to the loan terms, the loan bears annual interest at an adjustable rate with 30-day LIBOR + 2.20% basis points, repayable in monthly installments of interest for the first three years. Principal payments are due in monthly installments for the remaining period of four years

(5) For the benefit of acquiring the Lakefront Villas property, a mortgage was obtained from a financial institution for a period of 7 years. According to the loan terms, the loan bears annual interest at an adjustable rate with 30-day LIBOR + 2.20% basis points, repayable in monthly installments of interest for the first three years. Principal payments are due in monthly installments for the remaining period of four years.

NOTE 8:- ASSET HELD FOR SALE

a. The following are investments classified on the consolidated balance sheets as investments in consolidated entities held for sale as of December 31, 2025:

Name of property	Location	Units	% EMIF II
Elite 99 West	Texas	360	83%

NOTE 9:- SUBSEQUENT EVENTS

Management has evaluated all events transactions that occurred after March 31, 2026, through May 27, 2026, the date on which the statements were available and issued, noted no items requiring adjustments of the statements or additional disclosures.

NOTE 10:- DIFFERENCES BETWEEN U.S. GAAP AND IFRS

The financial statements are prepared in accordance with U.S. GAAP, which differ in certain respects from IFRS. The differences which affect the balance sheets and statements of operations relate principally to the following items:

a. Reconciliation of consolidated balance sheets from U.S. GAAP to IFRS:

	March 31, 2026			
	As reported	Adjustment	As per IFRS	Note
	U.S. dollars in thousands			
Real estate, net	189,416	72,451	261,867	(1)
Investment in investee entities	26,357	48,075	74,432	(2)
Members' capital	77,430	120,526	197,956	

b. Reconciliation of consolidated profit or loss from U.S. GAAP to IFRS:

	Three months ended March 31, 2026			
	As reported	Adjustment	As per IFRS	Note
	US dollars in thousands			
Depreciation	(1,970)	1,970	-	
Partnership's share of profit (loss) of entities accounted for at equity	(2,247)	(3,516)	(5,763)	
Partnership’s share of valuation	-	(4,567)	(4,567)	
Gain from sale of asset	22,643	(22,643)	-	
Profit (Loss)	18,753	(28,756)	(10,003)	

(1) Real estate, net - the investment properties are presented according to their fair value. Thus, for the conversion from U.S. GAAP to IFRS, those depreciation expenses are eliminated, and the real estate properties are presented according to their fair value. In addition, closing costs capitalized and included in the assets carrying value under US GAAP are expensed in accordance with IFRS.

(2) Investment in investee entities – the depreciation expenses of the real estate assets are eliminated, and the real estate properties are presented according to their Fair value. In addition, closing costs in association with acquiring the asset are expensed under IFRS and therefore eliminated from the carrying value of the asset. Thus, the investment in unconsolidated entities and the Partnership's share of profits of entities accounted for at equity are adjusted to reflect the elimination of depreciation and the addition of closing costs and valuations.